



Because we have different mental accounts, we treat cash and credit card transactions differently. People tend to shop more if they use credit cards as against paying cash. Actually both represent your own money. It's just that credit cards make us extravagant since we don't see the money change hands. Moreover, we pay interest on the credit offered. It is for this reason that credit card companies do a flourishing business.

Sacred Money

Ramesh was a successful investor and had done reasonably well for himself. One day he inherited Rs. 10 lakhs from his uncle. The uncle had worked hard and saved his money all his life. He did not take any risks and looked after his money with care. Ramesh treated this money as sacred as he had received it from someone who had toiled all his life to earn it. He would not consider putting it into the stock market where he had done reasonably well. Instead he put it into bank deposits. The money was marked "sacred" in his mental account. Had his uncle been extravagant maybe Ramesh would have played the stock markets with that money.



Impact of Mental Accounting on Investors

Mental accounting affects not only our personal finances but is more pronounced in the world of investments.

- Why do investors hold on to losing investments? They may offer various reasons to justify their action but the fact remains that mentally they are unwilling to accept that they are making a loss. Mentally we tend to believe that we book a loss only when we sell. Intellectually we recognise the loss but we hope that it will vanish. This is a common mental accounting error. On the contrary a loss can be adjusted against a profit, resulting in tax savings. Yet investors continue to fall prey to this common mental accounting error.